

APPLOVIN

PRESENTED BY ARKADEEP DAS AND DUSTIN LIU

Agenda

- Company Description
- Industry Analysis
- Comparative Analysis & Investment Thesis
- Catalysts & Risks and Mitigants
- Income Statement Model & Revenue Build
- Comparatives & Valuations

AppLovin Overview

- **Overview:**
  - Founded in 2012 (HQ: Palo Alto), AppLovin helps businesses grow, monetize, and analyze mobile apps using advanced marketing technologies, AI solutions, and ads to attract customers, increase revenue, and track ad performance
  - Share price of $691.94

Core Products:

- **AppDiscovery:** User Acquisition (Demand)
- **MAX:** Supply & Mediation
- **Adjust:** Measurement & Analytics
- **Axon:** AI-powered Ad Tech Software
- **Customers:** App developers, D2C brands, E-commerce.

Industry Analysis

- **Ad-Tech & Mobile Growth**
  - AppLovin operates in the booming advertising technology sector. The industry is characterized by a shift towards AI-powered personalization and privacy-first strategies.
- **Key Trends:**
  - Growth in E-commerce and Connected TV (CTV) advertising.
  - Increasing importance of immersive formats (AR, Short-form video).
  - Machine Learning models driving exponential growth in ad targeting efficiency.

SWOT Analysis

Strengths

- Industry-high operating & gross margins.
- Axon AI engine provides deep competitive moat.
- End-to-end stack (Discovery + Mediation + Measurement).

Weaknesses

- High valuation multiples/volatility.
- Platform dependency (Apple/Google).
- SEC investigation into data practices.

Opportunities

- Expansion into non-gaming (E-commerce, CTV).
- Self-serve platform growth.
- Divestiture leads to cleaner, focused ad-tech model.

Threats

- Intense competition (Unity, Google, Meta).
- Regulatory hurdles regarding privacy.
- Commoditization of mediation.

Porter’s Five Forces

Degree of Rivalry (High)	Intense competition from tech giants (Meta, Google, Amazon) and specialized firms (Unity).
Threat of Substitutes (High)	In-app purchases, subscriptions, and influencer marketing are viable alternatives to programmatic ads.
Threat of New Entry (Low)	High capital/data requirements. Axon's learning curve creates a significant barrier to entry.
Power of Suppliers (Moderate)	Scale reduces dependency on single data providers. Internal optimization reduces external reliance.
Power of Buyers (Moderate)	Developers have options (IronSource, AdMob), but Axon's superior monetization increases switching costs.

Investment Thesis

- Driver 1 - AppLovin sits at the intersection of large global demand for mobile ad inventory (advertisers chasing users) and a supply base of app developers that need effective monetization. Owning both SDK(a set of software building tools) distribution and an ad exchange/mediation stack creates a two-sided network that can increase fill rates, raise CPMs, and shorten monetization cycles for app developers — which in turn attracts more developers.

- Driver 2— New self-serve ad tools act as a "supercharger," which removes bottlenecks and accelerates revenue scaling. Despite stock rallies, some analysts see the stock as undervalued with significant upside potential, supported by robust forward guidance.

- Driver 3 – Applovin's advertising platform, Axon 2.0, uses AI to improve ad performance and drive high profit margins, a trend that has been a key factor in boosting profitability, and user retention even more in the future. The company is in transition from a mobile gaming company to a pure-play ad-tech powerhouse by leveraging its AXON platform to scale massively in the digital advertising space. Recent strong results(68% YoY in Q3 2025), including significant year-over-year revenue and free cash flow growth, support the investment thesis and have led to a major share buyback authorization.

Bull vs. Bear Case

BULL CASE

- Axon drives measurable ROI lift → more advertisers and publishers join for their services.
- Ad stack benefits from strong network effects → pricing power & margins expanded
- Diversification beyond gaming → durable, recurring revenue stream

BEAR CASE

- Regulatory actions can disrupt the business model, especially the current SEC investigation
- Apple/Google policy shifts reduce targeting accuracy
- Competition commoditizes mediation/user acquisition, compressing margins

Risks & Mitigants

RISKS

- **SEC Investigation:**
  - Alleged data practices scrutiny could lead to reputational damage.
- **Platform Dependency:**
  - Vulnerable to Apple/Google privacy policy shifts.
- **High Valuation:**
  - Stock price sensitive to market volatility and earnings misses.
- **Competition:**
  - Larger platforms exerting influence to undercut Axon.

MITIGANTS

- **Transparency:**
  - Open disclosure of ML methods and engagement with regulators.
- **Innovation:**
  - Continued R&D on deep learning models to maintain AI edge.
- **Diversification:**
  - Expanding into non-gaming verticals (Wurl/CTV) to reduce single-sector risk.
- **Market Backing:**
  - S&P 500 inclusion provides institutional support

Growth Catalysts



Axon ROI Lift

Measurable ROI improvements drive more advertisers to the platform, enhancing pricing power.



Network Effects

Ad stack benefits from scale—more data improves AI, which attracts more supply and demand.



Diversification

Successful expansion into E-commerce and Connected TV creates durable, recurring revenue streams.

Quantitative Analysis

Income Statement Model			Historical					Projected		
USD ($) in thousands except EPS and Shares O	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025E	FY 2026E	FY 2027E	FY 2028E	FY 2029E
Revenue	$1,451,086	$2,793,104	$2,817,058	$3,283,087	$4,709,248	$5,575,421	$7,612,843	$9,899,485	$10,503,426	$11,194,323
Cost of Goods Sold	555,578	988,095	1,256,065	1,059,191	1,166,806	$1,758,041	$2,546,809	$3,862,875	$3,743,579	$3,381,716
Gross Profit	**895,508**	**1,805,009**	**1,560,993**	**2,223,896**	**3,542,442**	**3,817,380**	**5,066,034**	**6,036,610**	**6,759,847**	**7,812,607**
Margin	*61.71%*	*64.62%*	*55.41%*	*67.74%*	*75.22%*	*68.47%*	*66.55%*	*60.98%*	*64.36%*	*69.79%*
Sales and Marketing	627,796	1,129,892	919,550	830,718	849,209	1,708,773.6	2,706,413.2	3,375,369.7	3,119,484.5	2,671,664.0
Research and Development	180,652	366,402	507,607	592,386	638,689	725,135.8	994,390.8	1,538,432.6	1,763,740.5	1,698,989.9
General and administrative	66,431	158,699	181,627	152,585	181,085	234,817.9	376,587.5	563,980.5	543,272.7	504,732.1
Lease modification and abandonment of leasel	7,851	0	0	0	0	15,082.7	10,297.2	6,695.1	3,551.8	1,892.7
Extinguishments of acquisition-related continge	74,820	0	0	0	0	143,738.2	98,132.2	63,803.9	33,848.2	18,037.3
Operating Expenses	957,550	1,654,993	1,608,784	1,575,689	1,668,983	2,827,548	4,185,821	5,548,282	5,463,898	4,895,316
EBIT	**(62042)**	**150016**	**(47791)**	**648207**	**1873459**	**989832**	**880214**	**488328**	**1295949**	**2917291**
Margin	*-4.28%*	*5.37%*	*-1.70%*	*19.74%*	*39.78%*	*17.75%*	*11.56%*	*4.93%*	*12.34%*	*26.06%*
Interest expense and loss on settlement of debt	(77,873)	(103,170)	(171,863)	(275,665)	(318,260)	(338,002.2)	(371,358.4)	(543,424.7)	(729,249.8)	(766,876.2)
Other income (expense), net	4,209	(535)	14,477	8,028	20,806	20,806	20,806	20,806	20,806	20,806
EBT(loss) before income taxes	**(135,706)**	**46,311**	**(205,177)**	**380,570**	**1,576,005**	**672,636**	**529,661**	**(34,290)**	**587,505**	**2,171,221**
Provision for income taxes	(9,772)	10,973	(12,230)	23,859	(3,771)	141,253.6	111,228.9	(7,201.0)	123,376.1	455,956.3
Net income(loss)	(125,934)	35,338	(192,947)	356,711	1,579,776	531,382	418,432	(27,089)	464,129	1,715,264
Attributable to non-controlling interest	747	108	201	0	0	0	0	0	0	0
Net income(loss) attributable to Applovin, Inc.	**(125,187)**	**35,446**	**(192,746)**	**356,711**	**1,579,776**	**531,382**	**418,432**	**(27,089)**	**464,129**	**1,715,264**
Margin	*(8.63%)*	*1.27%*	*(6.84%)*	*10.87%*	*33.55%*	*9.53%*	*5.50%*	*(0.27%)*	*4.42%*	*15.32%*
Depreciation & Amortization	254,951	431,063	547,084	489,008	448,680	755,394.4	1,103,168.3	1,678,521.4	1,672,691.9	1,424,636.5
EBITDA	**192,909**	**581,079**	**499,293**	**1,137,215**	**2,322,139**	**1,745,227**	**1,983,382**	**2,166,850**	**2,968,641**	**4,341,927**
Margin	*13.29%*	*20.80%*	*17.72%*	*34.64%*	*49.31%*	*31.30%*	*26.05%*	*21.89%*	*28.26%*	*38.79%*
Earnings per share:										
Basic	($0.58)	$0.10	($0.52)	$1.01	$4.68	$1.58	$1.24	($0.08)	$1.38	$5.09
Diluted	($0.58)	$0.09	($0.52)	$0.98	$4.53	$1.53	$1.20	($0.08)	$1.33	$4.93
Shares Outstanding										
Basic	214,936.545	324,836.076	371,568.011	351,952.187	336,921.483	336,921.483	336,921.483	336,921.483	336,921.483	336,921.483
Diluted	214,936.545	342,763.632	371,568.011	362,589.246	347,807.555	347,807.555	347,807.555	347,807.555	347,807.555	347,807.555

Percentage Format	
Revenue x Forecast	
Revenue - COGS	
Gross Profit/Revenue	
Revenue x Depreciation, amortization and depletion forecast	
Straight line	
Revenue x Selling, general, and administrative forecast	
Straight line	
Straight line	
Gross Profit - Sum(Row9:Row13)	
EBIT/Revenue	
Revenue x Interest expense forecast	
Straight line	
EBIT - Sum(Row17:Row19)	
EBIT x Taxes	
EBIT - Provision for income taxes	
Zero	
Net income - NCT	
Net income/Revenue	
Linked from Cash Flow Statement	
EBIT + Depreciation & Amortization	

(continued)

Forecast										
Cost of Goods Sold	38.29%	35.38%	44.59%	32.26%	24.78%	31.53%	33.45%	39.02%	35.64%	30.21%
Sales and Marketing	43.26%	40.45%	32.64%	25.30%	18.03%	30.65%	35.55%	34.10%	29.70%	23.87%
Depreciation, amortization, and writeoffs	17.57%	15.43%	19.42%	14.89%	9.53%	13.55%	14.49%	16.96%	15.93%	12.73%
Research and Development	12.45%	13.12%	18.02%	18.04%	13.56%	13.01%	13.06%	15.54%	16.79%	15.18%
General and administrative	4.58%	5.68%	6.45%	4.65%	3.85%	4.21%	4.95%	5.70%	5.17%	4.51%
Lease modification and abandonment of leasel	0.54%	0.00%	0.00%	0.00%	0.00%	0.27%	0.14%	0.07%	0.03%	0.02%
Extinguishments fo acquisition-related continge	5.16%	0.00%	0.00%	0.00%	0.00%	2.58%	1.29%	0.64%	0.32%	0.16%
Interest expense and loss on settlement of debt	(5.37%)	(3.69%)	(6.10%)	(8.40%)	(6.76%)	(6.06%)	(4.88%)	(5.49%)	(6.94%)	(6.85%)
Taxes	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%

Revenue Build

(as of 12/4/2025) Company	Ticker	Market Cap ($MM)	Enterprise Value ($B)(current)	52-week Low	52-week High	LTM EV/Revenue	LTM EV/EBITDA	LTM Trailing P/E
AppLovin	NASDAQ: APP	231,090	225.64	$200.50	$745.61	35.77	61.6	78.09
The Trade Desk	NASDAQ: TTD	19,030	17.6	$38.23	$139.34	6.31	29.4	43.88
Magnite	NASDAQ: MGNI	2,070	2.21	$8.22	$26.65	3.1	16.8	36.6
PubMatic	NASDAQ: PUBM	422.37	326.24	$7.01	$17.32	1.2	9.54	39.7
Unity Software	NYSE: U	18,890	19.43	$15.33	$46.94	10.72	515.75	(39.5)
Digital Turbine	NASDAQ: APPS	569.72	0.90178	$1.40	$8.28	1.72	20.21	(3.5)
Average						4.61	118.34	15.44
Median						3.1	20.21	36.6
Low						10.72	515.75	43.9
High						1.2	9.54	(39.5)

Comps & Valuation

Revenue Buildout USD ($) in thousands except per share	Historical 2020A	2021A	2022A	2023A	2024A	Projected 2025E	2026E	2027E	2028E	2029E
Revenue	**$1,451,086**	**$2,793,104**	**$2,817,058**	**$3,283,087**	**$4,709,248**	**$7,237,989**	**$12,183,926**	**$20,369,136**	**$37,310,343**	**$69,759,863**
YoY Growth		92.48%	0.86%	16.54%	43.44%	53.70%	68.33%	67.18%	83.17%	86.97%
In-App Purchases Revenue	739,934	1,458,595	1,179,133	989,007	1,002,656	$1,012,682.56	$1,037,999.62	$1,073,291.61	$1,115,149.98	$1,189,865.03
In-App Advertising Revenue	503,867	660,557	588,758	452,318	482,534	$518,724.05	$617,281.62	$765,429.21	$987,403.68	$1,323,120.93
Total Apps Revenue	**$1,243,801**	**$2,119,152**	**$1,767,891**	**$1,441,325**	**$1,485,190**	**$1,531,407**	**$1,655,281.24**	**$1,838,720.82**	**$2,102,553.66**	**$2,512,985.96**
Software Platform Revenue	$207,285	$673,952	$1,049,167	$1,841,762	$3,224,058	$5,706,582.66	$10,528,645.01	$18,530,415.21	$35,207,788.91	$67,246,876.81
Forecast										
In-App Purchases Revenue	-	97.13%	(19.2%)	(16.1%)	1.38%	1.00%	2.50%	3.40%	3.90%	6.70%
In-App Advertising Revenue	-	31.10%	(10.9%)	(23.2%)	6.68%	7.50%	19.00%	24.00%	29.00%	34.00%
Software Platform Revenue	-	225.13%	55.67%	75.55%	75.05%	77.00%	84.50%	76.00%	90.00%	91.00%

EV/EBITDA Valuations Summary(in thousands)	
EBITDA	4,341,927
Multiple	20.21
Total Enterprise Value	87,750,351
Debt	3,508,983
Cash	741,411
Total Equity Value	84,982,779
Shares Outstanding	336,921.483
Implied Share Price	$252.23
Current Price(As of 12/4/2025)	$683.78
Upside(Downturn)	(63.11%)

EV/Revenue Valuation Summary		
Revenue	$4,709,248	Linked
Multiple	3.1	Linked
Total Enterprise Value	$14,598,668.80	Multiple * Value
Debt	3,508,983	Yahoo Finance
Cash	741,411	Yahoo Finance
Total Equity Value	$11,831,096.80	
Shares Outstanding	336921.483	
Implied Share Price	$35.12	
Current Price(As of 12/4/2025)	$683.78	
Upside(Downturn)	(94.86%)	

P/E Valuations Summary	
EPS	$4.68
Multiple	36.6
Total Enterprise Value	$54,943,034.98
Debt	3,508,983
Cash	741,411
Total Equity Value	$57,710,606.98
Shares Outstanding	336921.483
Implied Share Price	$171.29
Current Price(As of 12/4/2025)	$683.78
Upside(Downturn)	(74.95%)